

SECTION B – WRITTEN QUESTIONS (TOTAL: 80 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (10 marks – approximately 18 minutes)

Unicorn Company was set up a few months ago. You, as an auditor, would like to understand the accounting system of the company and hence arranged a meeting with its accountant. After the discussion, the following matters were raised:

- (1) The accountant believed that the financial statements of the company should be presented in a true and correct manner in order to accurately reflect and present the financial information of the company. Whenever judgement is needed, the company must make decisions within the context of the company's financial reporting guidelines and policies.
- (2) Owing to the ongoing pandemic situation, the business environment was faced with uncertainty. The accountant was very nervous about the operations of the company and hence believed that the preparation of the financial statements can be exempted from the assumption of going concern.

Required:

State and explain the appropriateness of the above-mentioned two matters for Unicorn Company with the support of the relevant accounting assumptions/ basis/ concepts/ qualitative characteristics.

(10 marks)

Question 2 (32 marks – approximately 58 minutes)

The following balances relate to Jade Limited as at 30 September 2021:

	HK\$	HK\$
Land and building	20,560,000	
Plant and equipment	4,680,000	
Accumulated depreciation, as at 1 October 2020		
- Building		1,400,000
- Plant and equipment		880,000
Inventory, as at 1 October 2020	422,000	
Trade receivables	570,000	
Cash at bank	632,000	
Purchases	1,345,000	
Sales		5,837,500
Consultancy fee income		410,500
Returns inwards	122,500	
Returns outwards		107,800
Carriage inwards	159,000	
Carriage outwards	334,400	
Salaries	890,500	
Electricity	777,500	
Bank loan interest	50,000	
Other operating expenses	316,600	
Rent and rates	666,300	
Ordinary share capital		15,000,000
Revaluation reserve		600,000
Retained earnings, as at 1 October 2020		1,320,000
General reserves		700,000
Interim dividends (ordinary shares)	500,000	
Trade payables		722,000
Allowance for impairment loss on trade receivables		48,000
2% Bank loan		5,000,000
	<u>32,025,800</u>	<u>32,025,800</u>

Additional information:

- (1) The cost of inventory was HK\$387,000 as at 30 September 2021.
- (2) The following information is available for tangible non-current assets:
 - The company adopts the revaluation model for land, and the cost model for all other tangible non-current assets.
 - The value of freehold land increased from HK\$12,000,000 to HK\$14,000,000 on 30 September 2021. This has not been recorded in the books of Jade Limited.
 - The building is depreciated on a straight-line basis over their estimated useful economic life of 50 years.
 - The company provided consultancy services to customers in return for an equipment at value of HK\$300,000 on 1 October 2020. This transaction was omitted in the books of Jade Limited.
 - Plant and equipment are depreciated using the reducing balance method at 10%.
- (3) The bank loan was borrowed on 1 October 2020 and to be repaid in full in 2025. The interest is payable half-yearly on 1 April 2021 and 1 October 2021. The interest for the second half of the year has not yet been settled.
- (4) The salary of HK\$42,000 for the month of September 2021 had not been paid yet and not recorded on 30 September 2021, while the rent of HK\$88,000 for the month of October 2021 was settled on 30 September 2021.
- (5) Jade Limited performs impairment assessment on trade receivables at the end of each year. The balance of allowance for impairment loss on trade receivables as at 30 September 2021 was assessed to be HK\$62,000.
- (6) The directors recommended a transfer of HK\$200,000 from retained earnings to the general reserves on 30 September 2021.
- (7) The income tax on current year profit was estimated to be HK\$203,800.

Required:

- (a) **Prepare the statement of profit or loss and other comprehensive income for the year ended 30 September 2021 for Jade Limited.**
(17 marks)
- (b) **Prepare the statement of financial position as at 30 September 2021 for Jade Limited.**
(15 marks)

(Show all your workings.)

Question 3 (20 marks – approximately 36 minutes)

The Oppo Company prepared the financial statements and recorded a profit of HK\$672,900 for the year ended 31 December 2021. However, after careful examination, the accountant found that the following mistakes were made:

- (1) Commission income of HK\$42,000 was incorrectly recorded in the credit side of bank account as HK\$24,000.
- (2) The returns inwards journal had been overcasted by HK\$5,000.
- (3) The bank interest expense of HK\$21,000 was debited twice to the bank interest expense account.
- (4) The expenses for entertainment of HK\$55,000 were wrongly recorded in the electricity account.
- (5) One piece of equipment was sold at a price of HK\$367,800 on 31 December 2021. The equipment was acquired at cost of HK\$600,000 on 1 January 2019 and depreciation is charged at 20% on a reducing balance method. The company recorded the disposal by debiting the bank account and crediting the sales account.

Required:

- (a) Prepare the journal entries with narratives to correct the above errors.
(17 marks)
- (b) Calculate the adjusted profit for the year ended 31 December 2021.
(3 marks)

Question 4 (18 marks – approximately 32 minutes)

A fire destroyed most of the accounting records and inventories of Davis Company on 4 July 2021. The accounting staff of Davis Company gathered the following information from the remains, past records and external parties:

- (1) Balances of ledgers as at 1 July 2020 and 30 June 2021:

	1 July 2020	30 June 2021
	HK\$	HK\$
Inventories	332,670	662,500
Trade receivables	220,560	?
Trade payables	432,600	?
Bank	180,000	333,400

- (2) Other information for the year ended 30 June 2021:

- (i) Credit sales amounted to HK\$660,000 while cash sales were HK\$480,000.
- (ii) Credit purchases amounted to HK\$370,500 while cash purchases were HK\$130,400.
- (iii) Goods sold at the invoiced value of HK\$45,000 were returned by credit customers.
- (iv) Goods purchased at HK\$12,000 were returned to credit suppliers.
- (v) Discounts received on credit purchases and discounts allowed on credit sales were HK\$25,000 and HK\$22,000 respectively.
- (vi) Payments to credit suppliers were HK\$556,700.
- (vii) Trade debts amounted to HK\$6,000 were proved to be bad.
- (viii) Operating expenses settled by cheques amounted to HK\$112,000.

- (3) All goods were sold at a mark-up of 25% on cost.

- (4) The company arranged inventory stocktake on 5 July 2021 and confirmed that the inventories valued at HK\$225,000 were still in the warehouse. The following information was available:

- (i) On 1 July 2021, the goods acquired from the suppliers amounted to HK\$55,000, of which HK\$7,000 had not yet been dispatched by suppliers.
- (ii) On 2 July 2021, the company sold goods at invoiced price of HK\$88,000, of which HK\$12,000 was found damaged and returned by a customer on 3 July 2021.
- (iii) Goods at the original cost of HK\$32,000 were damaged and could be sold at the value of HK\$24,000.

Required:

- (a) Determine the amount of receipts from credit customers and the balance of trade receivables as at 30 June 2021. (7 marks)
- (b) Determine the balance of trade payables as at 30 June 2021. (3 marks)
- (c) Calculate the amount of inventories loss on 4 July 2021. (8 marks)

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